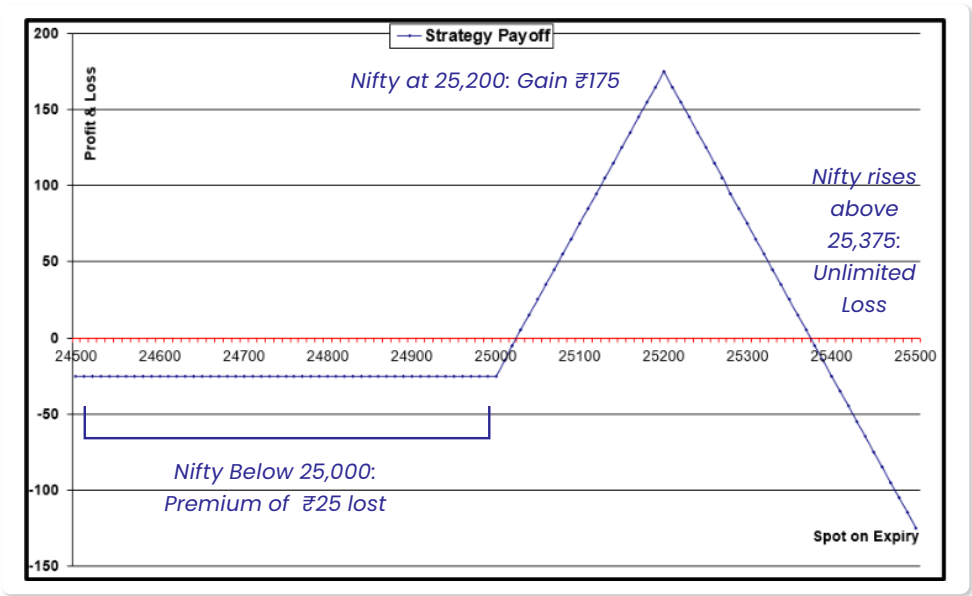




4.1.3 Bull call ladder spread

In a bull call ladder spread, we buy one ITM call option and sell two call options with two different OTM strikes. **The benefit of this strategy is that your maximum profit will be within a certain range.** It is different from having a maximum profit at a certain point.

Buy

One ITM Call Option



Less Premium Paid

Sell

Two distinct OTM Call Options



Two Premiums Received

Reward is within a range, risk is limitless

Example:

Particulars	Strike Price	Price
1 Nifty call bought	25,000	₹125